J Rajmohan Pillai vs State Of Nct Of Delhi Through Sho & Anr on 21 July, 2025

Author: Sanjeev Narula

Bench: Sanjeev Narula

$~65
* IN THE HIGH COURT OF DELHI AT NEW DELHI
+ CRL.M.C. 4791/2025, CRL.M.A. 20740/2025, CRL.M.A. 20739/2025
J RAJMOHAN PILLAI ....
Through: Mr
wi
Pa
Va
Ad

versus

STATE OF NCT OF DELHI THROUGH SHO & ANR.
.....Res
Through: Mr. Tarang Srivastava, APP fo
with SI Mukesh Chauhan, PS EO
CORAM:
HON'BLE MR. JUSTICE SANJEEV NARULA
ORDER

% 21.07.2025

1. The present petition filed under Section 528 of the Bharatiya Nagarik Suraksha Sanhita, 20231 (formerly Section 482 of the Code of Criminal Procedure, 19732) assails order dated 9th May, 2025,3 passed by the ASJ (FTC)-03, South East District, Saket Courts whereby Cr. Rev. No. 767/2018 filed by the Petitioner under Section 397 of Cr.P.C, has been dismissed. Consequently, the order dated 7th August, 2018 directing framing of charge against the Petitioner under Section 420/120B of the Indian Penal Code, "BNSS"

"Cr.P.C."

"the impugned order"

This is a digitally signed order.

The authenticity of the order can be re-verified from Delhi High Court Order Portal by scanning the QR code shown above. The Order is downloaded from the DHC Server on 23/07/2025 at 21:47:47 18604 emanating from FIR No. 616/1997 registered at P.S. Kalkaji EOW, stands affirmed.

2. Briefly stated, the facts of the case are as follows:

> 2.1. The Complainant company, SWIL Limited, entered into an agreement dated 30th May, 1995 with M/s Malabar Cashewnuts & Allied Products5 for the procurement, processing and export of cashew kernels in the name of the Complainant. Pursuant to representations made by MCAP regarding their expertise and export capabilities, it was agreed that the Complainant would provide financial assistance to the extent of 75% after MCAP received confirmed orders from foreign buyers in the name of the Complainant. It was further agreed that the raw material and finished goods purchased from the funds advanced were to remain the exclusive property of the Complainant. Acting on this representation, the Complainant advanced INR 83,00,000/- between August and September 1995, based on an export order allegedly received from a foreign buyer, M/s Utino Holdings BV, Netherlands, after the Complainant received two Letters of Credit6 in its name, for approximately INR 60,00,000/-.
>
> 2.2. Although MCAP managed to ship only one container of goods worth INR 29,42,000/- on 20th September, 1995, it failed to secure any additional confirmed LCs for the remaining two containers. Instead, it relied on two alleged export orders dated 11th August, 1995 and 29th September, 1995, purportedly from the same foreign buyer, to seek further financial assistance. To instil confidence, MCAP entered into a supplementary "IPC"
>
> "MCAP"
>
> "LCs"

This is a digitally signed order.

The authenticity of the order can be re-verified from Delhi High Court Order Portal by scanning the QR code shown above. The Order is downloaded from the DHC Server on 23/07/2025 at 21:47:47 agreement dated 25th November, 1995 with the Complainant, under which they opened two indigenous LCs of INR 63,80,000/- each in MCAP's favour. These were meant solely to enable MCAP to raise interim finance and not to be invoked. As security, MCAP issued four post-dated cheques of corresponding amounts, with a specific undertaking that the LCs would not be encashed unless the Complainant failed to reimburse MCAP within one week of receiving payment from the foreign buyer. MCAP was required to complete processing of the goods by 31st January, 1996 and ensure shipment by 15th February, 1996. However, it was later discovered that the LCs had already been encashed by MCAP in January, 1996, even though the shipments had not taken place. When the Complainant presented the post- dated cheques for encashment, they were dishonoured for insufficient funds. 2.3. On 28th August, 1997, the Complainant filed a police complaint alleging cheating, fraud, misrepresentation and criminal breach of trust by MACP. During the course of investigation, it was revealed that the amount of INR 1,27,60,000/-, credited against the encashed LCs, had been transferred to the account of Pace International Limited, a company in which the

Petitioner was serving as Director at the relevant time. 2.4. Both the chargesheet as well as the supplementary chargesheet stands filed.

2.5. Thereafter, by order dated 7th August, 2018, the Trial Court directed framing of charges against the Petitioner. The Petitioner's challenge to the said order in revision [Cr. Rev. No. 767/2018] before the Sessions Court was dismissed by the impugned order dated 9th May, 2025. Aggrieved, the present petition has been preferred.

3. Mr. Viraj Dattar, Senior Counsel for the Petitioner, urges that the This is a digitally signed order.

The authenticity of the order can be re-verified from Delhi High Court Order Portal by scanning the QR code shown above. The Order is downloaded from the DHC Server on 23/07/2025 at 21:47:47 order of framing of charge as well the impugned order, is erroneous on the following grounds:

> 3.1. The complaint contains no averments attributing any role to the Petitioner or to Pace International Limited. The chargesheet merely records that Pace International Limited acted on the instructions of MCAP and, with the full knowledge and acquiescence of the Complainant, supplied cashew kernels as directed. These supplies were duly received and acknowledged by the Complainant through a receipt dated 28th December, 1995. The role of Pace International Limited was limited to the delivery of goods at the behest of MCAP, who in turn, had the obligation to make the necessary payment.

Thus, no independent contractual relationship existed between Pace International Limited and the Complainant, and nonetheless, upon completion of delivery, the obligations of the former stood fully discharged. In the absence of any dispute regarding supply, the allegations, at best, constitute a civil dispute, which cannot be given a criminal hue to implicate the Petitioner.

3.2. The Sessions Court erred in concluding that the goods were meant for the foreign buyer and not the Complainant. If the goods had not been supplied and the LCs had been wrongfully invoked, the letter dated 25 th July, 1996, wherein MCAP acknowledged liability of INR 1,27,60,000/- under the LCs and INR 84,00,000/- towards advances, would not have been returned.

3.3. The reliance on the letter dated 25th July, 1996 for the purpose of framing charges under Section 420 IPC is misplaced. The letter, authored solely by MCAP and addressed to the Complainant, may be admissible only against its maker. It cannot be relied upon as evidence against the Petitioner This is a digitally signed order.

The authenticity of the order can be re-verified from Delhi High Court Order Portal by scanning the QR code shown above. The Order is downloaded from the DHC Server on 23/07/2025 at 21:47:47 or any third party. The liabilities acknowledged therein are exclusively attributable to MCAP and cannot, in law or fact, be extended to the Petitioner.

3.4. The two LCs, each valued at INR 63,80,000/- (aggregating to INR 1,27,60,000/-), were issued by MCAP in favour of Pace International Limited in furtherance of payment obligations for goods ordered and delivered. There was no impropriety in the encashment of the said LCs. Moreover, in the absence of privity of contract between Pace International Limited and the Complainant, the former cannot be held liable for any act or omission attributable to MCAP. The invocation of Sections 420/120B IPC is manifestly misconceived and constitutes an abuse of the criminal process, meriting intervention by this Court.

4. The Court has considered the aforenoted facts and contentions. It is well settled that the jurisdiction under Section 528 of BNSS is confined to assessing whether the Trial Courts have acted in consonance with law and whether any material irregularity or perversity has crept into the impugned orders warranting intervention. This Court, while exercising such jurisdiction, does not sit in appeal over the findings of the Trial Courts, nor can it re-appreciate evidence or substitute a plausible view with its own, unless there is a demonstrable case of miscarriage of justice.

5. The legal position regarding the framing of charge is also well-settled. At this preliminary stage, the Court is not expected to undertake a detailed or critical evaluation of evidence. Rather, the scope of judicial scrutiny at this stage is limited to forming a prima facie view based on the material This is a digitally signed order.

The authenticity of the order can be re-verified from Delhi High Court Order Portal by scanning the QR code shown above. The Order is downloaded from the DHC Server on 23/07/2025 at 21:47:47 placed on record. In State of Tamil Nadu v. R. Soundirarasu and Others,7 the Supreme Court held that at the stage of framing of charge, even strong suspicion founded on material which leads the court to form a presumptive opinion as to the existence of the factual ingredients constituting the offences alleged, would justify the framing of charge against the accused in respect of that offence. It is only in a case where the Magistrate considers the charge to be groundless that he must discharge the accused after recording his reasons for doing so.

6. Having regard to the afore-noted principles, we will now proceed examine the allegations against the Petitioner as contained in the supplementary chargesheet. The same is extracted hereinbelow:

> "In the circumstances it is stated that the complainant company has suffered a loss of Rs. 2,56,20,675/- outstanding against MCAP and also the interest @ 24% per annum on account of cheating and criminal breach of trust committed by Malabar Cashewnuts & Allied Products, Quilon, its partners namely Smt. Sarojni Amma, Mrs. Saraswathy Anima, A. Sasikant and Anand Sharma and A. Suresh Kumar (Authorized Representative).
>
> Appropriate action may kindly be taken against aforesaid culprits, stolen money of the complainant be recovered from them and be restored to the complainant/company. Complainant SWIL LIMITED, International Business Division Office, 1st Floor, Sheetala House, 73-74, Nehru Place, New Delhi; through G. D. Goyal, Dy. Manager, Commercial Delhi/June 6, 1997.

> After obtaining the orders from the court of Shri M. C. Gupta, MM, Patiala House, investigations was reopened on 22.1.2002 and IO had interrogated accused Mr. Raj Mohan Pillai in detail. During the investigations accused J. Raj Mohan Pillai has admitted that the amount of Rs. 127.60 Lacs was credit in the account of M/s Pace International ltd with State Bank of Travencore Kollam on 5.01.1996 in which he was the director at that time & he further stated that the cashew nuts of Rs. 127.60 Lacs against the L/Cs was handed over to Mrs. Veenita Singh of SWIL LTD but, he was not able to explain the correct quantity and the mode of transportation etc. Mr. Raj Mohan (2023) 6 SCC 768.

This is a digitally signed order.

The authenticity of the order can be re-verified from Delhi High Court Order Portal by scanning the QR code shown above. The Order is downloaded from the DHC Server on 23/07/2025 at 21:47:47 submitted the copy of invoice No. PIL IL 01 & 02 dated 4.01.1996 of Rs. 6380000.00 each along with a copy of the receipt signed by Mr. Ravi B Ahuja and Mrs. Veenita Singh representatives of M/S S'WIL LIMITED Mrs. Veenita Singh of M/S SWIL LTD was also examined for the clarifications of the above facts stated by Raj Mohan Pillai. She admitted that the signatures on the receipt is genuine, but also stated the circumstance under which this receipt was given to Raj Mohan Pillai.

She stated that the receipt was given as per the supplementary Agreement dated 25.11.1995 and in the agreement under clause 4 & 5 it was clearly mentioned that the L/C shall not be revoked and these L/C are only to raise finance from the market.

Mrs. Veenita Singh has also supplied the copy of the letter dated June 4th 1995 given by M/S Malabar Cashew nuts & Allied Products (MCAP) to the Chief Manager, State Bank of India, Calcutta who has visited the factory along with Mr. Vijay Punyani, Manager of complainant company and as per the letter given to the Bank Manager 4131 Tins of Cashew valued about was ready and kept for SWIL LTD shall be given after receipt of foreign LC from the perusal of this letter it is clear that till 4.06.1996 cashew nuts was not supplied by M/S Malabar to SWIL LIMITED Mrs. Veenita Singh also supplied a copy of the letter/telex dated 21.06.1996 and as per the telex the MCAP stated that SWIL may issue another 1 1 I fresh LC of Rs. 137 lacs to enable them to raise the finance and to pay Rs. 127.60 lacs to SWIL and offered collateral security of land.

She has also submitted copy of the letter dated 25.07.1996 in which the MCAP has confirmed and acknowledge the amount payable by them to SWIL including Rs. 83.00 lacs and also Rs. 127.60 lacs (original copy has already submitted in court with the previous charge sheet) and from the personal of this letter also it is clear that up till 25.07.1996 no cashew nuts was supplied I to SWIL by MCAP or Pace International Limited Mrs. Veenita Singh has also submitted a copy of the affidavit given by Suresh Kumar dated 16.01.1999 to the representative of M/s SWIL in which it is clearly mentioned that the cashew nuts was never supplied against the above LC No IB/ND/ILC/95/18 & 19 dated 25.11.1995 of Rs. 63.80 lacs each and they acted on the instruction of Raj Mohan Pillai who is the actual controlling the functioning of MCAP, Pace International and so many other group companies of KJP group.

Mr. A. Sasikant a co accused in this case has also submitted at the time of his Bail application in the court of Hon Sh. K S Mohi and This is a digitally signed order.

The authenticity of the order can be re-verified from Delhi High Court Order Portal by scanning the QR code shown above. The Order is downloaded from the DHC Server on 23/07/2025 at 21:47:47 in his application accused Sasikant stated that they are acting on behalf of Raj Mohan Pillai who is the actual controlling the functions of MCAP and Pace International Limited We had verified these facts from Sasikant and he had again confirmed the same.

In the application submitted by Sasikant co accused in the court of Hon sub judge at Trivendrum (copy enclosed) he has explained the detail of various partners of MCAP from 1990 to 1996 and which is clearly shows that the whole company is actually being controlled by Mrs. Raj Mohan Pillai along with the CO accused of this case who are the family members of RJP.

When he had shown all the above documents submitted by the Sasikant Suresh Kumar of MCAP and Veenita Singh of SWIL LTD to Raj Mohan Pillai and asked for he reply he was not able to give any satisfactory reply.

Accused Raj Mohan Pillai was asked to supply the documents proof of supply made to SWIL LTD of cashew nuts against the LC including any TP form submitted by SWIL LTD and if they have not submitted any demand of sales tax, GR or lory receipt challan and invoice lory number, sales tax return and other documents in supplied to the cashew nuts supplied to SWIL LIMITED but he could not supplied any documents.

IO..... Respect of supply of cashew nuts by Pace International to SWIL LIMITED the notice was duly receipt by the representative of Pace International and he stated that the office of Pace International is closed but he shall hand over this requirement to the present directors of Pace International but till date no documents was supplied by them and now the notice was sent back with the remarks that the present directors has not accepted this notice.

This conducts of Pace International shows that they do not have any records which establish that the cashew nuts were supplied to SWIL LIMITED against the subject LC.

From the investigation conducted so far it has been established that LC No. IB/ND/ILC/95/18 & 19 dated 25.11.1995 of Rs. 63,00,000/- each issues by Allahabad Bank, Parliament street branch, New Delhi was encashed and credited in the account of Pace International Limited in which Raj Mohan Pillai was the director and overall controller of the affairs of the company. Accused column No. 4 has committed the offence U/s 406/420/120-B IPG with deep record conspiracy with the co-accused who are his close relatives by dishonest intention and fraudulent en-cashed and credited the LC amount in the account of Pace International. Hence charge against the accused column No. 4 has been ii prepared. It is therefore, requested that Hon'ble Court may kindly take the cognizance on the charge sheet by calling accused person through notice and witness This is a digitally signed order.

The authenticity of the order can be re-verified from Delhi High Court Order Portal by scanning the QR code shown above. The Order is downloaded from the DHC Server on 23/07/2025 at 21:47:47 through summon respectively."

7. Having regard to the aforenoted averments, the Revisional Court made the following observations in the impugned order:

> "6. The crux of the above-said is that there is prima facie enough material on record to make the case of cheating against revisionist. Henceforth, the Ld. Trial Court has rightly held that "the investigation was conducted and during investigation it was revealed that the complainant company suffered the loss to the tune of crores of rupees due to the acts committed by MCAP and its partners namely Sarojini Amma, Saraswati Amma, A. Shashikanty Anand Sharma and its AR A. Suresh Kumar. It is revealed that pursuant to the criminal conspiracy amongst the accused persons the amount of Rs. 1,27,60,000/- against the LCs was fraudulently transferred in the name of PA CE International in which accused A. Suresh Kumar was one of the subscriber and accused I. Rajmohan Pilley was the Director and the said amount was usurped". The Ld. Trial Court has further rightly held that "in the case in hand, as per the allegations, the complainant company was cheated as the LCs to the tune of Rs. 1,27,60,000/- were encashed by PACE International Ltd in connivance with MCAP and its partners against the terms of the supplementary agreement dated 25.11.1995. Perusal of the aforesaid supplementary agreement executed between MCAP and the complainant company reveals that MCAP was free to raise any proceeds against the letter of credit but without encashing the same and the ' aforesaid LC which was to be furnished by the complainant company was not meant to be encashed by MCAP at any point of time during its validity, however, the said LC was liable to be encashed by the MCAP only in the event if the- complainant company failed to reimburse the amount within 01 week of its actual receipt by the complainant company from the foreign buyer. The MCAP was also bound to deposit two bankers cheque of Rs. 63.80Lacs each in the name of the complainant company in case MCAP wrongfully invoked the letter of credit at any point of time".

The Ld. Trial Court has further rightly held that "I find force in the abovesaid arguments raised by Ld APP for the State because the goods were not meant to be received or supplied to the complainant company and if the goods were already supplied and LCs were rightly evoked then the letter dated 25.07.1996 which is on record would not have been written by MCAP to the complainant company acknowledging its liability to the tune of Rs. 12760,000/- against the Lcs and the liability of Rs. 84 Lacs against the advances given by the complainant company to MCAP". The Ld. Trial Court has further rightly held that "The present case is at the stage of charge and the This is a digitally signed order.

The authenticity of the order can be re-verified from Delhi High Court Order Portal by scanning the QR code shown above. The Order is downloaded from the DHC Server on 23/07/2025 at 21:47:47 allegations levelled by the complainant cannot be said to be false at this stage".

7. In view of the aforesaid discussion and overall facts and circumstance of the case, I came to the conclusion that I find no infirmity or irregularity in the impugned order and revision filed by the revisionist is hereby dismissed. The orders dated 07.08.2018 stand confirmed."

8. Upon a bare reading of the observations extracted above, this Court finds that both the Trial Court and the Revisional Court rightly concluded that the supply of goods against the LCs was seriously disputed. According to the supplementary agreement dated 25th November, 1995, the LCs were not to be invoked by MCAP under normal circumstances. They were to be used only to raise finance and were not meant to be encashed during their validity unless the Complainant Company failed to reimburse MCAP within one week of receiving funds from the foreign buyer. However, LCs were encashed contrary to this condition. Moreover, MCAP was also bound to deposit two banker's cheques of INR 63,80,000/- each in favour of the Complainant Company in the event of wrongful invocation of the LCs, an obligation which was also not fulfilled.

9. Furthermore, the MCAP their letter dated 25th July, 1996 duly acknowledged a liability of INR 1,27,60,000/- under the LCs and INR 84,00,000/- towards advances. Had the goods been supplied, prima facie, there would have been no occasion for MCAP to issue such an acknowledgment. This directly undermines the Petitioner's claim of having fulfilled the underlying obligation.

10. In the aforesaid circumstances, this Court is of the view that, at the stage of framing of charge, there existed sufficient material to raise a presumption regarding the commission of an offence under Section This is a digitally signed order.

The authenticity of the order can be re-verified from Delhi High Court Order Portal by scanning the QR code shown above. The Order is downloaded from the DHC Server on 23/07/2025 at 21:47:47
420/120B of IPC. This Court finds no perversity or illegality in the reasoning adopted by the Trial Court and the Revisional Court which would justify interference in the exercise of revisional jurisdiction. Accordingly, the Court finds no merit in the present petition.

11. It is clarified that the observations made in this order are limited to the adjudication of the present petition and shall not influence the Trial Court at the stage of final determination of the case.

12. In view of the above, the present petition, along with pending applications, is dismissed.

SANJEEV NARULA, J JULY 21, 2025/ab This is a digitally signed order.

The authenticity of the order can be re-verified from Delhi High Court Order Portal by scanning the QR code shown above. The Order is downloaded from the DHC Server on 23/07/2025 at 21:47:47